

IEG

ICR Review

Independent Evaluation Group

1. Project Data :		Date Posted : 06/26/2012	
Country:	Iraq		
	Is this Review for a Programmatic Series?	☐ Yes ☒ No	
Series ID :			
First Project ID : P119214		Appraisal	Actual
Project Name : Iraq Fiscal Sustainability Development Policy Loan	Project Costs (US\$M):	250	250
L/C Number:	Loan/Credit (US\$M):	250	250
Sector Board : Economic Policy	Cofinancing (US\$M):		
Cofinanciers :	Board Approval Date :		02/25/2010
	Closing Date :	03/31/2011	03/31/2011
Sector(s):	Other social services (36%); Banking (36%); Central government administration (28%)		
Theme(s):	Social safety nets (27%); Public expenditure; financial management and procurement (27%); Other financial and private sector development (18%); State-owned enterprise restructuring and privatization (18%); Poverty strategy; analysis and monitoring (10%)		
Evaluator:	Panel Reviewer :	ICR Review Coordinator :	Group:
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2. Project Objectives and Components:

a. Objectives:

"The main objective ... is to mitigate the impact of the current fiscal crisis on Iraq 's economy and to support its medium-term economic reform program, thereby helping the country improve fiscal sustainability and reducing its fiscal and socio-economic vulnerability to sudden drops in oil revenues . (Project Appraisal Document [PAD], p. 25). More specifically, the project supports the following goals :

- Strengthening budget management and prioritization to enable more efficient and effective use of Iraq 's own resources;
- Strengthening the financial sector;
- Helping to cushion the social impact of lower oil revenues by reforming social safety nets and the pensions system."

b. If this is a single DPL operation (not part of a series), were the project objectives/ key associated outcome targets revised during implementation?

c. Policy Areas:

The DPL focused on four policy areas . The first, prioritization of spending, aimed to change the composition of spending in the medium term in favor of the public spending priorities identified in the Poverty Reduction Strategy. The second, closely related one, financial management, built on the Government's Public Finance Management Action Plan with a focus on budget design and preparation, public procurement, and cash management, control and accounting. The third supported the Government's Banking Sector Reform Program and other financial sector reform initiatives aimed at providing efficient, competitive financial services, effective

mobilization of funds, and allocating them to the most productive investments . The fourth supported reforms to the social protection system, including the Government's medium term reform program of the Public Distribution System (PDS - the Iraqi food ration system) and the Social Safety Net, and pension reform .

d. Comments on Project Cost, Financing, Borrower Contribution, and Dates:

The program cost US\$250 million, financed by an IBRD loan in that amount . The project was approved on February 25, 2010, became effective on April 7, 2010, and closed on March 31, 2011, all as planned. The operation was planned as part of a series of two DPLs, with the second operation contingent on government commitment and financing need . With the steep rise in international oil prices since 2010, and a US\$15.4b budget surplus in 2011, there was no financing need so the 2nd DPL did not proceed.

3. Relevance of Objectives & Design:

a. Relevance of Objectives:

The objectives are highly relevant to addressing the financial shortfall arising from the global economic crisis, PFM weaknesses (e.g. poor budget preparation and lack of alignment with government priorities, poor investment project design and selection, inconsistent and cumbersome procurement procedures, and ineffective mechanisms for cash management, monitoring and control of investment project implementation), financial sector shortcomings (e.g. non-performing loans, lack of adherence to Basel Core Principles for Effective Banking Supervision, and excessive processing time), and weaknesses in social protection . The operation builds on the Government's reform programs outlined above in Section 2.c, which remained relevant at project closing, and which is aligned with the priorities of the 3rd Interim Strategy Note FY09-11 and its pillars supporting socio-economic recovery, improving governance and management of public resources, and promoting broad-based, private sector led growth through a strengthened financial sector .

b. Relevance of Design:

The design of a quick disbursing loan is substantially relevant, due to the uncertain fiscal scenerio facing the government at the time of approval . As part of a program including the IMF Stand-By Arrangement (potentially US\$3.7 billion), the Bank signaled that Iraq would get significant support in bridging its financing gap, estimated for the period 2009-2011 to be US\$4.9 billion. This helped to prevent abrupt spending cuts, helped to preserve the exchange rate peg, and helped to keep inflation in check : all important results in the politically fragile context. There is a clear statement of objectives, linked to intermediate and final outcomes, with a convincing causal chain linking funding from the Bank and other partners, with intended outcomes . Prior actions, indicative triggers and milestones were coherent and well designed to meet the objectives . The design is enhanced by linkages with six other Bank operations, extensive analytical and advisory activities, and close collaboration with support from the IMF, European Commission, US Treasury, UK Department of International Development, US Agency for International Development, and the World Food Program (WFP). The operation could have benefited from political economy analysis to support the risks assessment, given the political sensitivity of the reforms and fragile nature of the political settlement, as pointed out in the ICR . The analysis of fiduciary shortcomings is frank. Evidently, the Bank decided to go ahead with the operation despite these shortcomings, but the design could have been improved with more discussion and analysis of the reasoning for doing so, for example with a risk-reward type analysis.

4. Achievement of Objectives (Efficacy):

The achievement of the objectives is measured by considering achievements in bridging the financing gap, strengthening budget management and prioritization, strengthening the financial sector, and reforming social safety nets and the pensions system, as measured against prior actions, indicative triggers for a 2nd DPL, and target outcomes.

1. Strengthening budget management and prioritization . Four sets of actions were included in the policy matrix, linked to five program development outcomes (PDOs). The first action set concerned adopting a medium term framework reflecting policy priorities and fiscal projections, with support from the Budget Strategy Committee . There were achievements including the 2012 budget circular with fixed ceilings consistent with medium term

fiscal projections. The draft 2012 budget provides for a 35 percent increase in capital spending, although disbursement constraints are expected to continue (EIU Iraq Country Report, 2012). While budget strategy discussions have reflected PRS priorities, the proportion of spending on health, education, and the PDS declined since 2010, and the links between policy priorities and medium term budgeting are still weak. The second action concerned the National PRS. The first annual PRS monitoring report was delayed due to delays in PRS implementation resulting from the delay in forming the current Government. The third action set concerned procurement. The draft procurement law has not been approved by the Council of Ministers as expected. Instead, regulations which encompass the relevant principles are being drafted. A Public Procurement Regulatory Authority has not yet been established. As a first step, a Government Contracting Directorate has been set up in the Ministry of Planning, whose effectiveness is unknown. Standard bidding documents have been issued by all implementing agencies as expected, but their use is not required. Contracting Offices have been designated in most ministries, but their effectiveness is unknown. The final action set with two PDOs concerned improvements in budgeting. The first PDO was fully achieved, with monthly budget execution reports issued within 60 days, and completion of the 2006 audit of the Government Accounts. In addition, the audit of the 2007 accounts has been completed. The second PDO has been partially achieved. A chart of accounts and implementation manual is in draft stage, and used in the initial design of the Integrated Financial Management Information System. However, the draft hasn't yet been approved by the Board of Supreme Audit.

This work took place in a challenging macroeconomic environment, with a drop in crude oil export revenues by nearly 40 percent between 2008 and 2009, and revenues in 2010 still 21 percent below the 2008 peak level. Real GDP growth dropped from 9.5 percent in 2008 to 0.8 percent in 2010. The overall fiscal balance weakened from -1 percent of GDP in 2008, to -22 percent in 2009 and -11 percent in 2010. The current account balance showed a similar pattern of weakening over the period.

Taking all the achievements supported by the operation, and the difficult macroeconomic context, into account, IEG rates efficacy of this objective as modest.

2, Strengthening the financial sector. Three sets of actions were covered. The first action set concerned improvements in Rasheed and Rafidain Bank. The program target of achieving settlement of at least 40% of non-performing loans (NPLs) was achieved. The two banks are also diversifying their portfolio as expected, with additions of housing finance and Islamic banking products. An unexpected achievement is that both have increased their reserves to NPL ratio from 10 percent in 2008 to 20 percent in 2011. Concerning the banking sector reform action set, both banks have a new organizational structure and human resource management system, and the ratio of loans to the private sector increased from 4 percent in 2008 to 6 percent in 2011, as planned. It was also planned that capacity building actions with the Central Bank of Iraq (CBI) would lead to supervision largely adhering to Basel Core Principles; this aspect has been partially achieved. Finally, CBI has introduced a real time gross settlement payments system, and it is fully operational, with 44 Banks participating, and reduction in processing time to 2-3 hours, from 25 days previously (and exceeding the target of 10 days). Taking all these achievements into account, IEG rates efficacy of this objective as substantial.

3. Helping to cushion the social impact of lower oil revenues by reforming social safety nets and the pensions system. Three sets of actions were covered. The first action set concerned rationalizing the PDS. A timebound plan has been adopted by the Council of Ministers to target households below given levels of incomes and tax accounts, and to public sector staff below the Director General level. However, further progress is hampered, *inter alia*, by challenges of obtaining reliable income data. Beyond this, Social Safety Net reforms are being piloted, and planned for wider implementation to update the PDS database in 2013. Geographical targeting to governorates with higher poverty rates has been introduced. The planned public communication strategy has been worked on, but delayed implementation of PDS targeting has prevented it from being finalized. Finally, the National Board of Pensions has launched the actuarial policy analysis. The Actuarial and Policy Unit has been set up, and a law has been drafted to merge public and private sector pension schemes. IEG rates efficacy of this objective as modest.

5. Efficiency (not applicable to DPLs):

6. Outcome:

The objective is highly relevant to addressing challenges of the financial shortfall arising from the global economic crisis, PFM weaknesses, financial sector shortcomings and weaknesses in social protection. The design is substantially relevant, with a convincing causal chain linking funding from the Bank with intended

outcomes, building on extensive analytical work, and aligned with complementary support from the Bank, the IMF and other development partners. Efficacy is substantial on one sub-objective, and modest on two; overall, 10 program outcomes from the policy matrix were achieved, and 6 partially achieved. The improved processes haven't yet translated into improvement in the International Country Risk Guide's rating on bureaucratic quality (1.5 from 2009-2012) or socioeconomic conditions (0.5 from 2004-2012), although there have been small improvements in the rating on corruption (1.0 in 2009 to 1.5 in 2010-12) and risk of payment delays (2.0 in 2010 to 2.5 in 2011-2012), and a significant improvement in the risk for budget balance (2.5 in 2010 to 4.0 in 2012).

a. Outcome Rating : Moderately Satisfactory

7. Rationale for Risk to Development Outcome Rating:

IEG agrees with the ICR that there significant risks arising from political and security uncertainties, and from the continuation of the constraints that led to only partial achievement of some of the PDOs. Risks from weak fiduciary controls and technical capacity are also significant. These risks are mitigated to an extent by ongoing technical assistance, investment and policy dialogue from the Bank, IMF and other development partners. The commitment of the CBI to sustain and continue the reform process is indicated by two new measures adopted in April, 2012 to restrain money laundering. Other signs of CBI capacity include, in addition to enhancement of the interbank market supported by the DPL, the introduction by CBI of a basic lending rate, minimum reserve requirements, a daily currency auction, and a government securities market. The halving of the policy interest rate since 2008 to 6 percent based on a decline in inflation is a sign of sound monetary management. Risks to sustaining and building on achievements in social protection are being mitigated through ongoing support from a \$2.6 million Bank project funded by the Iraq Trust Fund, and the WFP's project: Capacity development to reform the PDS and strengthen social safety nets for vulnerable groups in Iraq, 2010-12.

a. Risk to Development Outcome Rating : Significant

8. Assessment of Bank Performance:

a. Quality at entry:

The design is linked to other Bank operations, extensive analytical and advisory activities, and mutually supportive assistance from other partners. The risks identified: political and economic performance, oil revenue volatility, security, fiduciary, program and technical capacity are all relevant, though the analysis would have been strengthened with more detailed analysis of political economy constraints to the reforms supported, and how they could be mitigated. Similarly, a risk-reward type analysis would have been helpful to understand why the Bank was supporting this operation despite significant fiduciary risks that could not be mitigated.

Quality-at-Entry Rating : Satisfactory

b. Quality of supervision:

A supervision mission in September, 2010 highlighted to Government areas where further progress was needed, and by the November, pre-appraisal mission, most of the triggers for a 2nd DPL had been achieved. Given the severe security constraints to Bank staff to work in Iraq, Bank staff did a commendable job piecing together the limited information provided to them.

Quality of Supervision Rating : Satisfactory

Overall Bank Performance Rating : Satisfactory

9. Assessment of Borrower Performance:

a. Government Performance:

The Government was actively involved in the design of the operation, and contributed to the achievement of most program outcomes, despite significant security constraints and political fragility . Yet it was not able to generate political support for full achievement of 6 of 16 program outcomes. Its commitment to sustaining the progress achieved is uncertain, given the continuation of the constraints, and the easing of fiscal pressure due to high oil export revenue .

Government Performance Rating : Moderately Satisfactory

b. Implementing Agency Performance:

The Ministry of Finance did a commendable job, while faced with major challenges in coordinating actions with other ministries and government entities . For example, monitoring was mainly limited to the Ministry and some closely related institutions . Progress on the most politically controversial measures was less than desired, although some progress has been made on all of them .

Implementing Agency Performance Rating : Moderately Satisfactory

Overall Borrower Performance Rating : Moderately Satisfactory

10. M&E Design, Implementation, & Utilization:

a. M&E Design:

There were clear sub-objectives, and a set of measurable PDOs linked to "program outcomes" in the policy matrix. All indicators are clear and have baselines except for the intermediate outcome indicator (IOI): "the medium term expenditure program could be maintained, as budgeted in 2010", which is not evaluated in the ICR. The indicators were jointly monitored by the Government and the Bank, which was appropriate given the "emerging" character of the Government's M&E system .

b. M&E Implementation:

All indicators were broadly evaluated in various aide memoires (supervision mission of September, 2010, DPL II pre-appraisal mission, 2011 sector missions) and all are evaluated in the ICR except for the IOI . Given that Bank missions typically met counterparts in Amman, there was reliance on reporting by officials that could have been incomplete, given the weak state of Government M&E .

c. M&E Utilization:

According to the ICR, monitoring stopped when the DPL II preparatory process stopped, and it isn't known how the Government used the monitoring data .

M&E Quality Rating : Substantial

11. Other Issues

a. Safeguards:

The operation supported improvements in public financial management, financial sector management, and social protection that do not have direct effects on safeguard issues . The project was not required to be classified in an environmental or safeguard screening category .

b. Fiduciary Compliance:

The Bank conducted a fiduciary assessment prior to loan approval that identified weaknesses and areas for improvement. Based in this, it is stated in the PAD that "the fiduciary risks cannot be mitigated for this DPL ". A positive list of items to finance under the operation was considered as a possible mitigating measure, but was rejected due to possible reputational risks to the Bank . In addition to support to the CBI under the DPL, other mitigating measures included a Bank financial sector project, and dialog with the IMF over supporting the CBI control environment, including external audits of CBI accounts, and verification of CBI's international reserves . The effectiveness of these measures is not known . As mentioned in Section 3.b, a risk-reward type analysis would have been helpful to clarify the justification for proceeding despite known fiduciary risks .

c. Unintended Impacts (positive or negative):

The unexpected increase in oil prices starting in 2010 helped close the Government's fiscal gap, and led to the decision not to proceed with the follow up DPL . Although budget support is no longer provided, policy dialogue between the Bank and the Government continues in the areas covered by the DPL .

d. Other:

None

12. Ratings :	ICR	IEG Review	Reason for Disagreement / Comments
Outcome:	Moderately Satisfactory	Moderately Satisfactory	
Risk to Development Outcome:	Significant	Significant	
Bank Performance :	Satisfactory	Satisfactory	
Borrower Performance :	Moderately Satisfactory	Moderately Satisfactory	
Quality of ICR :		Satisfactory	

NOTES:

- When insufficient information is provided by the Bank for IEG to arrive at a clear rating, IEG will downgrade the relevant ratings as warranted beginning July 1, 2006.
- The "Reason for Disagreement/Comments" column could cross-reference other sections of the ICR Review, as appropriate.

13. Lessons:

The experience demonstrates that policy operations can work well in a high risk environment when governments are motivated by fiscal stress, but that the sustainability of achievements is uncertain if the fiscal stress is removed . It also shows the importance of a mutually reinforcing package of properly sequenced analytical work, technical assistance, policy lending, and assistance from other donors .

14. Assessment Recommended?

☐ Yes ☒ No

15. Comments on Quality of ICR:

A highly informative ICR presenting evidence of considerable achievement despite significant security and political constraints.

a.Quality of ICR Rating : Satisfactory